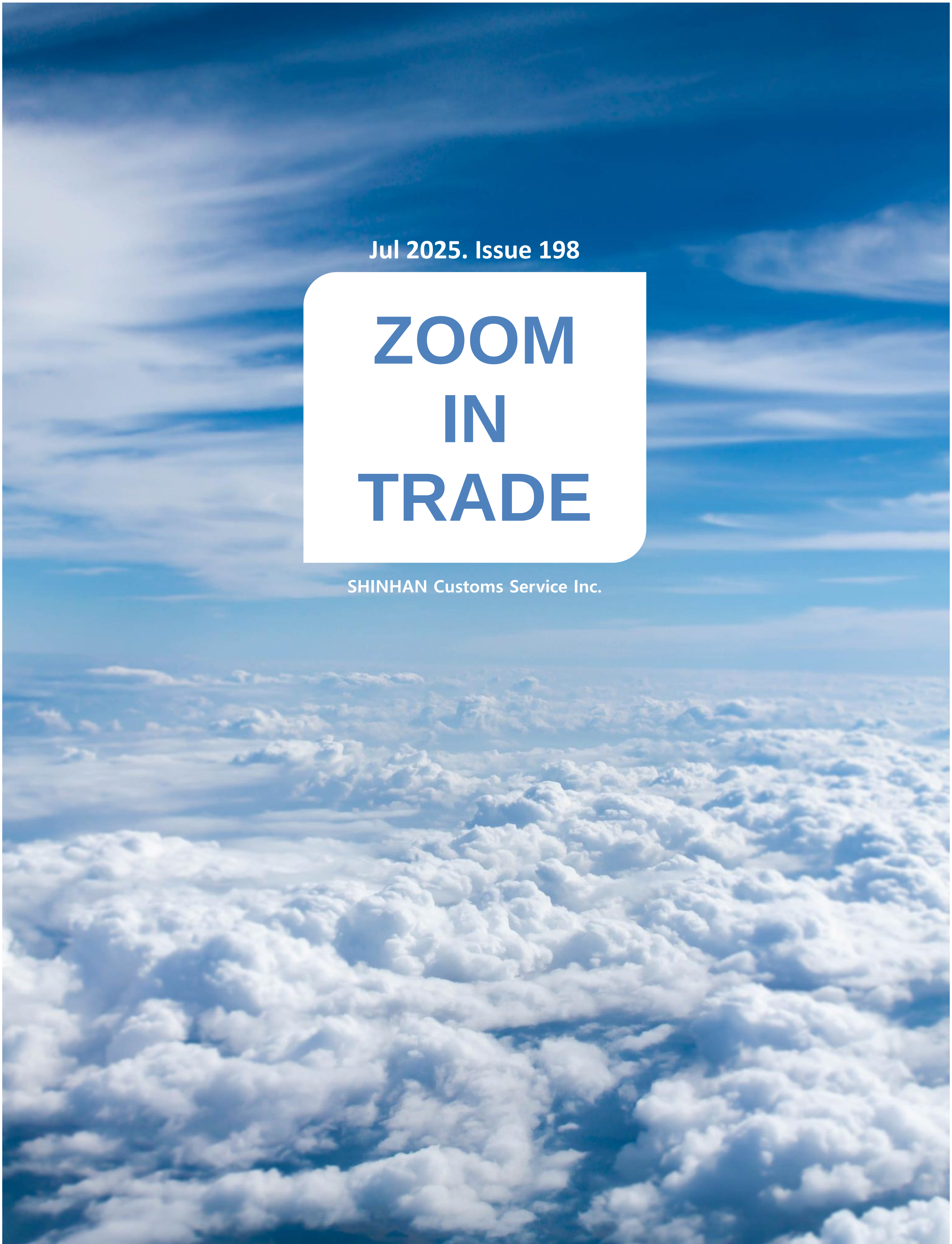

Jul 2025. Issue 198

ZOOM IN TRADE

SHINHAN Customs Service Inc.

Absolute Evaluation and Relative Evaluation

Grace Chang

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"

We must become adults who wait with smiles and applause. When our beloved children are happy, then we too, as adults, will find happiness.

"

My happiness comes from the happiness of the one I love,
Happiness doesn't depend on me,
*but on the person I love.**

An evaluation is an opinion formed about a person, an object, or an act. It can be the opinion of one person or the collective opinion of several. Evaluations have a significant impact on the subject being evaluated. Especially when evaluated by multiple people, rather than just one or two, the value of the subject can rise or fall dramatically. Therefore, an evaluation should be based on clear standard and conducted fairly and objectively. However, there are evaluations that are judged by "whether one has surpassed others." Such evaluation brings many problems.
Why do we evaluate? Is an evaluation necessary?

Ideal and Reality for this month is ***'What to Do about Sales and Import Prices after Reciprocal Tariffs'****, Analysis on Recent Customs Judicial Precedent covers* ***'Substantial Judgment of the Use of Rights Fee Included in the Customs Taxable Value'****, and HS case solved by logic reports* ***'Analysis of tempered glass product classification through analysis of the product classification case of glass panels attached to refrigerators (Tax Tribunal 2024-120)',*** *Global Customs Insight is* ***'US De Minimis (small items) also need to meet FDA requirements.'*** *and*

FTA and import/export practical business guide is ***'Revision of the Notice on Post-Management',*** *Contents and Opinion of Customs Trade amendment Covers* ***'Administrative Notice of Revision(Draft) to the "Ordinance on Customs Investigation Operations"'***

In the beginning, God created the heavens and the earth and said, "It is good." God said, "Let there be light in the darkness," and there was light, and God saw that the light was good. God also created the land and the seas, the plants on the land, the sun, moon, and stars in the sky, the creatures that live in the sea and water, the winged birds that fly in the sky, and the creatures that live on the land, and God saw that it was good. Finally, on the sixth day, God created man in his own image and it was very good.

Everything in heaven and earth was created with its own meaning. Since each organism was provided with what it needed, there was no need for competition. There was no reason to judge which was better or worse.

The expansion and competition of humanity

As humans expanded, various species and groups emerged. Among them, Only Homo sapiens, those that originated in Africa, gained an advantage in intergroup competition and migrated across the globe. Homo habilis, the "dexterous man," and Homo erectus, who used fire and could travel long distances, were outcompeted and disappeared. Homo neanderthals, who were dispersed across Europe and Western Asia, were also powerful humans with large brains, sophisticated toolmaking, and burial practices, but they also became extinct. Homo sapiens's exceptional adaptability, group cooperation based on complex language, and knowledge transfer capabilities have led to the extinction of other human species. Homo sapiens became the only surviving species of human beings.

Homo sapiens are once again divided into nations, regions, organizations, and communities, and continue to compete. We compete to get ahead and gain more. As more people try to get ahead of others, competition arises. The concept of evaluation has emerged. Nations and groups compare and evaluate each other, and have endless competition to get ahead of others.

Our children on the stage of competition

The suicide rate among Korean youth continues to rise. The suicide rate almost doubled in 2023 compared to 2017.** In particular, it is reported that the suitcide rate for elementary and middle school students has increased by three times each. Students are experiencing difficulties due to academic challenges, family problems, and personal issues. Most of the problems are centered around the evaluation system and comparative mindset that pushes them into competition.

The absolute evaluation system evaluates students based on impartially established learning objectives or achievement standards. It allows for accurate assessment of individual achievements without comparing them to others. This can have a positive impact on learning motivation. On the other hand, Relative assessment is an evaluation that compares the level of achievement with that of other learners within a given group. It is a method of giving grades based on the ranking or distribution among students. "Did you do better than others?" becomes the basis for evaluation.

80 years of fierce competition

There are areas where competition is necessary. Within various groups, fierce competition can occur through comparisons to avoid falling behind. South Korea sought to address food shortages and create a truly prosperous nation by turning bare mountains green by revitalizing the economy. This was possible because of the hard work of adults and we were able to escape poverty and grow into one of the world's top 10 economic powerhouses. There is a constant effort to win in competitions across popular music, film, dramas and broadcasting, classical music, literature, and sports, all of which are referred to as K-Pop. I would like to express my gratitude to many people such as artists, industrialists, sports stars, and government officials who have worked hard to become the best in the world. Now, South Korea is also establishing itself as a cultural powerhouse.

From competition to encouragement

But should we impose the same competitive spirit on our children? The goal should be not "Did you do better than others?" but "Did you meet the standard?" " The goal should be to build a valuable world together, with friends and peers, through cooperation. Before comparing with others, one must first reach their own goals.

Adults must help children aim toward proper standards, not force them into harmful comparisons. In the world that God created and declared "good," we must not allow children to suffer to the point of giving up their lives. We should not make children struggle under systems that compare, evaluate, and force them into competition.

We must pass on to our children a society in which the paradigm has shifted from 'Let's better than others' to 'Let's grow together with others.' We must become adults who wait with smiles and applause. When our beloved children are happy, then we too, as adults, will find happiness.

Thank you

*Jo Jeong-min. (February 23, 2022). I love you. Seoul: Duranno Seowon.
*Seo Jin-seok, Jin Tae-hee. (November 6, 2024). EBS News 12. EBS News

Ideal and Reality

What to Do about Sales and Import Prices after Reciprocal Tariffs

Since August 7, 2025, South Korea has been subject to an additional 15% tariff under the reciprocal tariff agreement with the United States. The higher tariffs are expected to apply not only to steel, aluminum, and copper, but also to key products such as semiconductors and pharmaceuticals, and the impact is expected to extend to derivatives. This has left exporters deeply concerned about determining their selling and import prices.

Until the first half of the year, companies had largely absorbed the increased tariff burden in response to the Trump administration's tariff policies implemented in April. However, they have reached a point where they can no longer bear the burden. In fact, many companies are reporting operating losses or significant declines in profits in the first half of the year.

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On August 19th, I lectured on "Pricing and Tariff Reduction Strategies After the Imposition of Reciprocal Tariffs" to approximately 100 executives and employees of domestic cosmetics exporting companies at a training session hosted by the Korea Cosmetic Association. Korean cosmetics exports achieved record highs in the first half of this year, but have been facing a sharp decline since August. Nevertheless, Korean cosmetics remain world-class in terms of quality, safety, and price. Therefore, exports are expected to continue to expand in the long term, despite the impact of reciprocal tariffs.

US tariff burden to come into full swing in September

While tariffs are generally borne by US importers, a study found that exporters and manufacturers actually shared a significant portion of the burden when a 10% tariff was imposed in the first half of 2025. The US Consumer Price Index (CPI) rose 0.2% month-on-month in July, reaching an annualized rate of 2.7%. Price increases for some items have also led to a decrease in the quantity available for purchase at large retailers for the same price. As President Trump claimed, the tariffs are practically being borne by exporting countries.

In particular, the small-amount duty exemption for Chinese goods valued under $800 was abolished on May 2nd, and the same system was applied to all countries starting August 29th. With reciprocal tariffs also implemented on August 7th, a rise in retail prices in the US is inevitable from September onward. However, the extent of the price increase will depend on market competition in the US. Exporters will strive to minimize price increases, but the difference is likely to be spread across the distribution chain, including manufacturers, exporters, transport companies, importers, and platforms, resulting in decreased profits.

Tariffs borne by domestic and foreign consumers

If a reciprocal tariff of 15-30% is imposed, assuming US exports account for 20-30% of total exports, this would result in an additional burden of approximately 3.5-9% of export prices. If exporting countries shoulder half of this burden, exporters would face a burden of 2-4% of total sales. The problem is that the average operating profit margin for domestic small and medium-sized enterprises (SMEs) is only 2-3%. In this case, the burden of reciprocal tariffs could reduce profits to zero or even turn into losses.

Therefore, companies are forced to compensate for their losses by raising domestic sales prices or export prices to Europe and Southeast Asia, which are not directly related to the US market. Major domestic automakers and food companies have already announced or are considering raising retail prices.

Sharing the pain is a global challenge

Whether the purpose of tariff policy is to cover the US fiscal deficit or to foster manufacturing, the burden is ultimately passed on to businesses and consumers around the world. While specific countries can artificially support specific industries, it's impossible to support all industries equally. Ultimately, all businesses and citizens will have no choice but to share the pain of declining profits and rising prices.

History warns us. Following the Great Depression of 1929, the implementation of the Smoot-Hawley Tariff Act in 1935 halved German and Japanese exports and skyrocketed unemployment, and there is an evaluation that this was the spark of World War II. This time, we must not repeat the same tragedy. The U.S. government and its citizens must understand the difficulties faced by other countries and companies and appreciate their efforts to share the burden. In particular, the U.S. steel and aluminum industries, which have demanded a 50% tariff, should curtail their greed and demand a tariff reduction instead, as they have already achieved significant profits in the first half of the year. Otherwise, the boomerang effect of rising prices and rising unemployment will return to the machinery, electronics, construction, and automobile industries that use steel as a raw material.

The need to reset US import prices

The most common question I've been asked recently by exporters is, "How should I set the US import price?" In the past, there were no tariffs, so setting the export price on a DDP basis was acceptable. However, now, it's crucial to thoroughly consider costs incurred in the US, international transportation costs, and cargo insurance to determine an appropriate FOB price. This can help reduce even a small portion of the tariff burden.

The U.S. government announced that, starting in early 2025, it will implement the False Claims Act, imposing treble punitive damages and additional fines on companies that cause revenue losses through under-reporting, duty evasion, and misrepresentation of origin. This law, enacted during the Civil War to prevent corruption, will now be applied to international trade. Exporters should avoid the temptation to under-report and minimize risk through honest pricing.

Trump's Tariff Policy vs. Friedman's Free Trade Theory

At this point, we must ask a crucial question: Is President Trump's reciprocal tariff policy truly superior to the zero-tariff, free trade policies advocated by Milton Friedman?

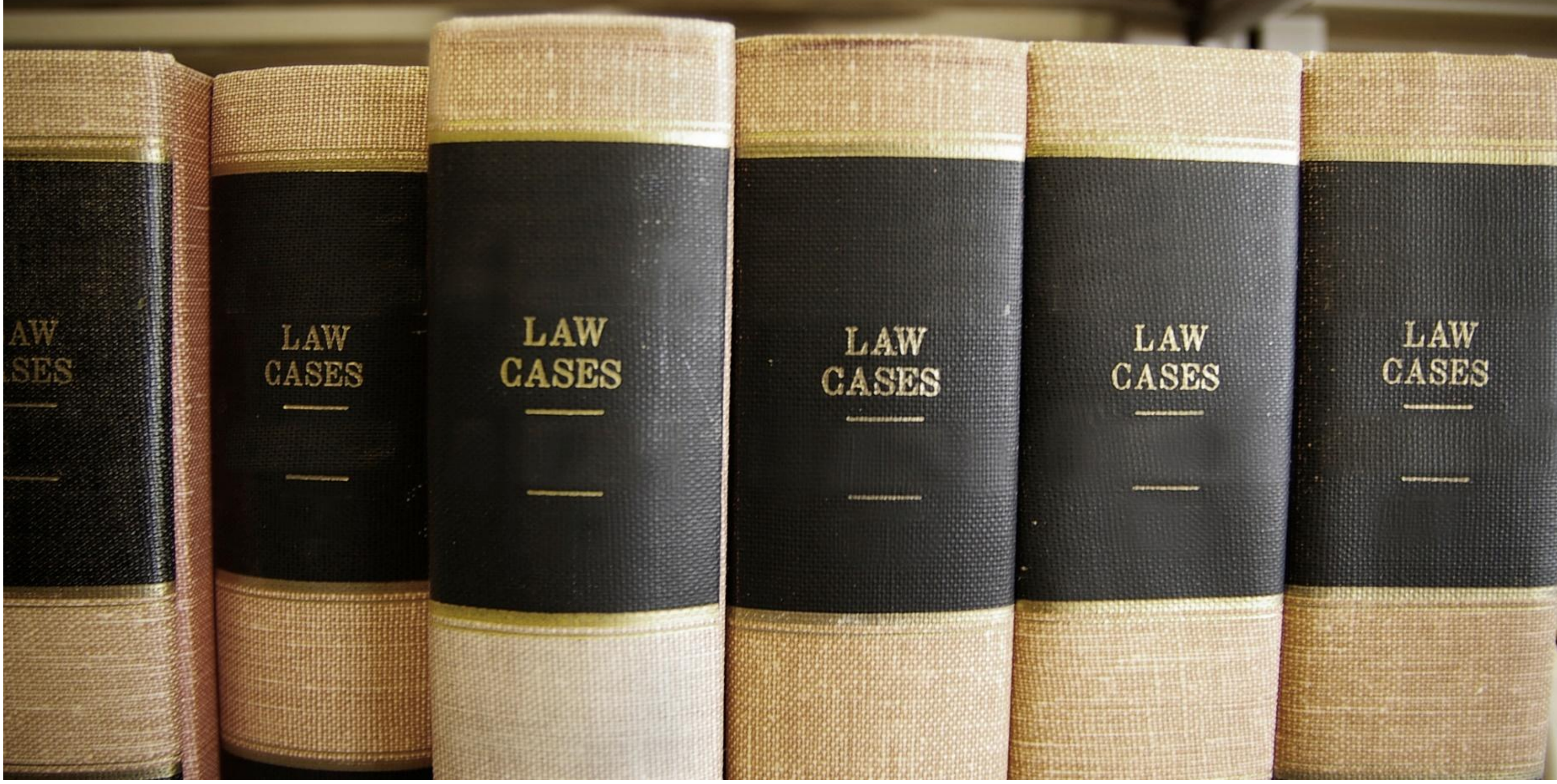
Friedman warned that tariffs and trade barriers ultimately make life difficult for American citizens and reduce the efficiency of the global economy. President Trump, on the other hand, seeks to protect specific industries through tariffs and revitalize American manufacturing. While tariff policies may benefit some American manufacturers in the short term, in the long term, they are likely to lead to higher prices, distortions in the global supply chain, and a slowdown in global economic growth.

Ultimately, which policy is superior should be evaluated from the perspective of long-term efficiency and global burden-sharing, rather than short-term performance. The current reciprocal tariff situation is becoming a testing ground for whether Friedman's principles of free trade still hold true, or whether protectionism could be a new solution.

Conclusion

The era of reciprocal tariffs is already a reality. All companies must respond through rigorous FOB pricing, pain-sharing, and market diversification. However, a more fundamental question remains: Is the classic principle of free trade still optimal, or is a new form of protectionism an inevitable choice?

We all live in a world where we cannot survive without sharing in the pain. Finding the answer to this question is perhaps the greatest challenge that the global economy is facing today.



Analysis on Recent Customs Judicial Precedent

Substantial Judgment of the Use of Rights Fee Included in the Customs Taxable Value

1. Issues

Whether royalties and technical support fees paid by the claimant to its overseas headquarters are all included in the "use of rights fee," which is an additional factor in the taxable price according to Article 30, Paragraph 1, Subparagraphs 3 and 4 of the Customs Act.

2. Facts

(1) The claimant corporation is a corporation established through joint investment by the Spanish headquarters and a domestic company, and has been importing and selling branded clothing, accessories, and footwear in Korea through a contract with the headquarters.

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(2) In relation to this, the claimant corporation has been paying royalties to its headquarters or affiliates as a certain percentage of sales, and these royalties were contractually specified as compensation for trademark usage rights, support for know-how regarding store operation as well as technical support.

(3) The disposition agency determined that a special relationship existed between the claimant and its headquarters, and the actual royalty payment was the compensation for the use of intellectual property rights including trademark rights, and was directly related to the trademark attached to the imported clothing. Furthermore, even if royalty payment was not included in the terms of the transaction, considering the overall contractual structure, including the special relationship, the agency determined that it could be considered a transaction condition for imported goods.

(4) The plaintiff argued that the royalty at issue was unrelated to the imported goods and was merely a service fee related to domestic sales activities, such as store operations, and therefore could not be included in the customs taxable value. The plaintiff emphasized that royalty payment was not a prerequisite for the purchase of imported goods and that the trademark itself was a service mark, not a product mark.

3. Summary of the Judgment

The Customs Service did not recognize all taxes imposed by the disposing agency but **only a portion of royalties was recognized as subject to the addition of taxable value.**

First, It was recognized that the foreign headquarters that signed the contract with the claimant corporation has a special relationship. After comprehensively reviewing the contract and transfer pricing report, etc., the customs service determined that the royalty includes trademark usage fees, and that the imported goods also bear the relevant trademark, so a connection was recognized. Furthermore, considering the special relationship between the two parties and the structural linkage that terminates the joint venture agreement upon termination of the contract, it was determined that royalty payment is practically a transaction condition for imported goods.

However, not all royalties are for trademark use, and some of them are for services of a management support nature, such as operating domestic stores. Therefore, it was decided that only the portion directly related to imported goods should be allocated based on objective and quantifiable criteria and added to the taxable price.

4. Commentary and Implications

Royalties must be ① related to the imported goods, ② paid as part of the terms of the import transaction, and ③ be an objective and quantifiable amount. Royalties that do not meet these requirements cannot be included in the taxable price.

The above review request decision comprehensively considers not only the contents of the contract but also the actual transaction structure and relationship in determining the relevance of royalties and transaction conditions.

In particular, it suggests that whether royalties are for a product or service mark should be judged based on substance and the actual use of the trademark, not on form.

In addition, if the rights provided by the overseas headquarters are not limited to trademark usage rights and include management support necessary for operating domestic stores, the composition of royalties must be separated and reasonably distributed.

Therefore, in cases where there are complex royalty agreements, the importer must be able to prepare objective and specific calculation basis data, such as contracts, accounting standards, and transfer pricing reports, in advance and present them to the tax authorities.

HS case solved by logic

Analysis of tempered glass product classification through analysis of the product classification case of glass panels attached to refrigerators (Tax Tribunal 2024-120)

1. Background

From 2019 to 2023, the claimant imported glass panels attached to the front of refrigerators from China (hereinafter referred to as "issued items"), and declared them as tempered glass with a thickness of 8 mm or less and cleared them under HSK heading. 7007.19-1000.

Afterwards, starting from January 2024, the claimant filed a correction request on the grounds that the issued item should be classified as HSK heading 8418.99-1000 as it is a dedicated part of a refrigerator, and accordingly, customs duties and value-added tax can be refunded by applying the 0% agreement tariff rate under the Korea-China FTA.

However, the customs office did not accept this, and the claimant, dissatisfied with this, filed a request for adjudication.

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2. Issues

The crux of this case is whether the issued item is simply tempered glass and falls under HSK heading 7007, or whether it should be classified under HSK heading 8418 as a dedicated part of a refrigerator that is combined with the refrigerator door and performs a practical function.

This is because under the Korea-China FTA, heading 7007 is subject to a 5.6% tariff rate, while heading 8418 is subject to a 0% tariff rate, so a tariff refund is granted depending on the classification results.

3. Claimant's claim

The claimant argued that the issued item should be classified as refrigerator parts under heading 8418 on the following grounds:

① The issued item is an essential part of the refrigerator as it is attached to the refrigerator door to form the exterior and is a custom panel that can be replaced according to the consumer's design preference.

② The issued item is an element that determines the front design of the refrigerator, and it was manufactured using a combination method specialized for refrigerators, and a related patent is also held by the claimant.

③ As a product manufactured through advanced processing such as paint printing, color implementation, and AF coating, it is much more expensive than tempered glass and is not practically used for purposes other than refrigerators, so the essential characteristics of the issued item lie in 'color and functional design' rather than 'tempered.'

4. Disposal Agency Claim

The Disposal Agency argued that the issued item should be classified as tempered glass under heading 7007 on the following grounds:

① The issued item is merely safety glass corresponding to heading 7007 in that it was tempered glass imported alone without any accessories and was not directly attached to the refrigerator door at the time of import.

② To attach to a refrigerator, additional processing such as fixing, cover, and cushioning material must be done domestically, and this type of bonding

structure is not reflected in the condition of the item at the time of import.
③ Paint printing, AF coating, and attachment of anti-scattering film are processes recognized as part of the processing scope of heading 7007 in the HS commentary, and since there is no functional structure such as conductive ink printing and no integral operating element with the refrigerator, it is difficult to view them as 'parts of the device.'

5. Hearing and judgment

The Tax Tribunal found some validity in the plaintiff's argument that the issued item had a special purpose of being used in combination with a refrigerator door, but under the Customs Act, classification of items must be judged based on the condition at the time of import, and placed importance on the fact that the issued item was imported as standalone tempered glass without being combined with any device at the time.

In addition, it is difficult to view the processing such as AF coating and printing as being outside the scope of heading 7007, and in particular, considering that the WCO 72nd HS Classification Opinion also decided to classify non-conductive ink-printed glass as heading 7007, it was determined that it was appropriate to classify the issued item as heading 7007.

6. Practical Implications

This case is expected to provide a significant baseline for future classification practices for tempered glass products. Specifically, even if tempered glass incorporates aesthetic elements such as design, paint printing, or film attachment, if it is imported as a standalone component without any functional structure or electrical function, it is highly likely to be classified as safety glass under heading 7007.

Furthermore, it has been reaffirmed that even if a product is specifically designed for a specific device, it is difficult to qualify as a "part" if it is not already integrated with the device at the time of import. In particular, for cover glass used in refrigerators, smartphones, and display products, the presence of conductive ink printing is a key criterion for its recognition as a component of the device. This is consistent with the Notices on Changes to Item Classification (Nos. 2024-17 and 2025-23) announced by the Korea Customs Service in 2024.

Therefore, when importing similar products in the future, it is advisable to carefully check the combination structure with the device, whether functional processing has been done, and the condition at the time of import, and check the classification risk in advance.

Global Customs Insight

US De Minimis (small items) also need to meet FDA requirements.

On July 9, 2025, the U.S. CBP announced that items falling under Section 321 (De Minimis, small items) of the U.S. Tariff Act are also subject to regulation by the U.S. Food and Drug Administration (FDA) **(CSMS # 65581188).** (Existing CSMS #94-001260,**CSMS#17-000388,** Special procedures under CSMS #52257745 and CSMS #53697179 are repealed.

****Even if the item falls within the **de minimis value of $800 or less**, if it is an FDA-regulated item, it must meet FDA requirements regardless of quantity or value.**

Key Points

- (Purpose and Background) It is to **promote legitimate trade and prevent the import of illegal products** since all imported cargo regulated by the FDA may cause a risk of danger to the national **Health, Safety and Security.**

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As technological capabilities advance, both the trade community and the FDA are able to review all FDA-regulated products submitted electronically, regardless of quantity or value.

- (Enforcement period) **Immediate implementation.** From now on, all FDA-regulated products must be submitted for FDA review, and any guidance for low-cost products that were previously waived from FDA review is no longer valid.

- (target item)

CSMS #17-000388 5 product groups

1. Food: Food and feed, regardless of quantity or value, must meet the prior notice[1] requirements. Excluding exemptions under 21 CFR 1.277(b) (personal items, government shipments, diplomatic cargo, etc)

2. Cosmetics

3.Dinnerware– Includes cooking and eating utensils

4.Non-medical radiation generating devices(Microwave, TV, CD player, etc.)

5.biological samples for experimental use

article	Before change	After change
that meet certain conditions FDA regulated products	CBP grants waivers to clear customs without notifying FDA	Even small items valued under $800 require FDA review.

Implications

Due to the strengthened compliance requirements for small items in the United States, companies exporting food, cosmetics, and other items to the United States via e-commerce must prepare for FDA compliance reviews in advance to minimize the disadvantages of customs holdups and returns due to non-compliance with requirements.

Furthermore, this measure is not limited to the United States; it suggests the potential for expanded regulations on the distribution of uncertified products in the global e-commerce environment. Therefore, it's crucial to seek expert advice from the early stages of product planning, review overseas requirements, and systematically prepare for them.

Customs Broker Cha Mi-jeong

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[1] **Prior Notice System**- For all food and animal feed imported or brought into the United States, shipper/manufacturer/consignee information, product information, arrival information, production site information, and transportation site information must be provided.

FTA and import/export practical business guide

Revision of the Notice on Post-Management

As of July 11, 2025, the "Notice on Post-Management" has been revised to improve convenience for businesses, including allowing applications for approval of exclusive items subject to the use tax rate even before import declaration and raising the price criteria for exclusive items subject to the use tax rate that are exempt from post-management. We would like to inform you of the major revisions.

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1. Establishment of a pre-screening procedure for exclusive items subject to use tax rates (§10)

● Improvement of system to allow application for approval of exclusive items subject to use tax rate even before import declaration to customs director, improving convenience for businesses.

- If you have applied in advance for and received approval for exclusive item subject to use tax rate, you may omit the post-management obligations* that arise after the import declaration is processed until the exclusive item is approved.

* Obligation to keep and record management ledgers, report changes in installation locations, and obtain asset transfer approvals, etc.

2. Increase in the price criteria for the items subject to exemption from post-management (application possible) (§3, §31, Appendix 2)

● To reflect the recent rise in import prices, the price criteria for items subject to the exemption for post-management or for which exemption is permitted among items subject to the use tax rate or reduction of the tax, have been raised.

* To reduce the burden of post-management on companies, raw materials for semiconductor manufacturing and academic research imported below a certain amount can be exempted from post-management or can be requested to be exempted.

- The price criteria exempted from post-management has been maintained since its revision on July 1, 2014. However, considering the upward trend in the import trade index, the price criteria exempted from post-management as stated in the notice was raised by 50% to reduce the burden of post-management on companies.

division	Target item	Item	type	Amount criteria	
				Current	improvement
Post-Management exempted	Use tax rate (Law §83)	Classes 84 to 97	No restrictions	Taxable price per item less than 10 million won	Taxable price per item less than 15 million won
	Reduction (Law §89*,§90**)		raw materials, parts and samples		
Application for exemption for post-management is possible*	Reduction (Law §90)	1st to 83rd class	Recognized as raw materials, parts and samples to be used within 3 months	Taxable price per item less than 20 million won	Taxable price per item less than 30 million won
		Classes 84 to 97		Taxable price per item: 10 million won or more but less than 20 million won	Taxable price per item: 15 million won or more but less than 30 million won

* Semiconductor manufacturing equipment reduction / ** Academic research supplies reduction / *** review the submitted ‘raw material usage plan’

3. Clarification of measures to be taken based on the results of verification of post-management items (§23)

● The results of post-management items verification (written or on-site) should be registered in the computer system regardless of whether there are any abnormalities, and the relevant regulations should be revised so that the customs director can notify the results of the verification upon application by the company even if there are no abnormalities.

4. Changes in customs for post-management of reduced items, etc. under Article 140 of the Restriction of Special Taxation Act (§3)

● The post-management customs for reduced items according to the Article 140 of the Restriction of Special Taxation Act (Development of Undersea Mineral Resources) shall be changed from the customs office at the current customs clearance location to the customs in the jurisdiction* where it is easy to check whether reduced items are being used for reduction purposes. and unify the post-management matters with those of items that received reduction according to other provisions of the same law.

* Customs office in charge of the location where the post-management items are installed or used

※ The previously implemented guidelines (Implementation of changes of post-management customs for tariff-reduced items pursuant to Article 140 of the Restriction of Special Taxation Act, Fair Trade Review Team-1932 (October 30, 2024)) are reflected in the notice.

5. Addition of grounds for cancellation of post-management work consignment (§25)

● Reasons for cancellation of entrustment of post-management* include ① when the head of the trustee withdraws his/her intention to accept the trust, or ② when the trustee no longer takes charge of work related to the application or reduction of the use tax rate due to a change in the organization structure of the trustee.

* (Article 108 of the Customs Act) The Commissioner of the Korea Customs Service may, if necessary, delegate post-management duties to the Minister of the competent ministry.

6. Clarification of the subjects and grounds for entrusting post-management services (Appendix 6)

● The notice clearly stipulates that soybeans imported under the tariff allocation for 'oil and defatted soybean meal' are also items subject to post-management by the Ministry of Agriculture, Food and Rural Affairs.

※ The guidelines for entrustment of post-management work (Fair Trade Audit Team-1707 (2024.9.12.)) that have been implemented are reflected in the notice.

- Terminology has been revised to clearly define items entrusted to import recommendation agencies as "items recommended by import recommendation agencies."

7. Addition of reasons for termination of post-management work (§32)

- Regulations have been established to enable the customs director to terminate post-management when it is confirmed that the relevant product is excluded from post-management due to a change in the product's tariff classification or product number.

8. Reflection of revisions to other notices (§12)

- In cases where batch application for off-site processing of tax-imbalanced reduced items is received and approval is obtained, the post-management temporary import/export report procedure is omitted.

※ Reflects the revisions to the "Notice on the Designation and Operation of Manufacturing and Repair Factories for Items Reduced from Imbalanced Tax Rates" (Korea Customs Service Notice No. 2024-35).

9. Other revisions

- Add the location of use (installation) to the application for approval (application) for exclusive items for use tax rate. (Appendix 1)
- Simplification of the article system by separating proviso, moving existing articles due to the establishment of new articles, and reorganization of citation provisions, etc.
- Provisions are made to apply the "Basic Administrative Investigation Act" to general matters related to administrative investigation procedures in relation to on-site verification.

Contents and Opinion of Customs Trade Amendment

Administrative Notice of Revision(Draft) to the "Ordinance on Customs Investigation Operations"

1. Overview

Article 2, Paragraph 20 of the Customs Act defines "customs investigation" as an on-site or written examination (including integrated investigation) of a taxpayer's books, documents, or other items to determine or correct the tax base and amount of customs duties. We will provide guidance on the key provisions of the revised "Ordinance on Customs Investigation Operations."

2. Reason for revision

(1) Changes in simplified investigation terms (Article 2)

(2) New provisions established by the addition of simplified customs investigation (Article 10)

(3) Changes in measures taken in case of failure to submit data subject to customs investigation (Article 38)

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3. Main contents

(1) Changes in simplified investigation terms (Article 2)

① Change the term to "simple customs investigation" to distinguish it from other administrative investigations (such as criminal investigations).

② Revision of wording including reduction of on-site investigation period and overall customs investigation period

Before revision	"Simplified investigation" refers to a customs investigation conducted by requesting and verifying the minimum explanatory materials and reducing the period of on-site investigation to 10 days or less for companies selected as targets of customs investigation and judged to have a low risk level in consideration of the company's cooperation with customs administration, sincerity, and past customs investigation history, and providing guidance and advice on matters to note in relation to fulfillment of export and import obligations.
After revision	"Simple customs investigation" means, --------------------------(omitted)----------- This refers to conducting an investigation by shortening the entire customs investigation period (including the on-site investigation period).

(2) New provisions established by the addition of the simplified customs investigation (Article 10) - Addition of "simplified customs investigation" to the customs investigation method followed by the addition of two new paragraphs, and revision of the wording of the proviso provisions.

Before revision	① The customs director shall conduct customs investigations (including reinvestigations) through on-site investigations in principle. However, if it is determined that the purpose of the investigation can be achieved solely through documents or ledgers based on clear taxation grounds, a written investigation may be conducted. However, if a disposition of the decision order can be made without an on-site investigation or written investigation during reinvestigation, such investigation may be omitted.
After revision	① Customs investigations are conducted on an on-site basis in principle, and in cases where the risk is deemed low considering the subject of the investigation's level of cooperation with customs administration, sincerity, etc., a simplified customs investigation may be conducted. ② Notwithstanding Paragraph 1, if it is determined that the purpose of the investigation can be achieved solely through documents or ledgers based on a clear basis for taxation, a written investigation may be conducted. However, in the case of a reinvestigation, if disposition of the decision order can be made without a written investigation, the written investigation may be omitted. (*Newly established)

(3) Change in the measures taken in case of failure to submit data subject to customs investigation (Article 38) - When a person subject to customs investigation fails to submit data, the sanctions are changed to "suspension of omission of security."

Before revision	④ If the subject of the investigation fails to submit customs investigation data within the requested period without justifiable reason or refuses or avoids the customs investigation, the customs director may take the following measures: 1~5. Omitted 6. Exclusion of P/L declaration for imported goods, customs clearance hold, and increased inspection rate
After revision	6. suspension of omission of security

4. Revision comments

With the revision of the "Notice on Customs Valuation Operation," the "Submission of Dutiable Value Declaration Data All at Once" will be introduced. Furthermore, judging by the revised content of the relevant instruction, the Korea Customs Service appears to be focusing on securing taxable data. Meanwhile, Article 12 of the Customs Act stipulates that

① documents such as import declaration certificates and related contracts must be retained for five years from the date of acceptance;

② documents such as export (return) declaration certificates and related price determination data must be retained for three years from the date of acceptance; and

③ data on bonded goods/loaded cargo/bonded transportation must be retained for two years from the date of acceptance. In accordance with the relevant system, taxpayers will likely need to appropriately prepare supporting documents to substantiate future export and import declarations.

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Vol. 199th | Day of Issue : 22 Aug 2025 | Publisher : Grace Chang | Translator : Hwa Byuck Lee | Editor : Seung Hoon Kim
Issuing Company : SHINHAN Customs Service Inc. 716, Eonju-ro, Gangnam-gu, Seoul, Korea
Tel 82-2-3448-1181 Fax 82-2-540-2323

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